

**Time:** 4 minutes**Outcome:** Identify the conditions that create price-taking behavior and limited market power**Difficulty:**

Intermediate

Competitive Markets



THE CORE IDEA

A competitive market contains many independent buyers and sellers, usually trading products that buyers view as close substitutes. No single participant controls enough of the market to set the market price. A small firm is therefore a price taker: it chooses how much to sell at the price created by market supply and demand. Competition becomes stronger when firms can enter or exit, buyers can compare offers, and switching among sellers is easy.



HOW TO RECOGNIZE IT

- Many independent firms sell the same product or close substitutes.
- One seller supplies only a small share of total market output.
- A firm accepts a price determined by overall market supply and demand.
- Buyers can compare prices and switch sellers without much difficulty.
- Entry by new firms or exit by existing firms changes competitive pressure.



WATCH OUT

A market is not strictly competitive just because it has several sellers. Product differentiation, search costs, network effects, or barriers to entry can still give firms pricing power. The key question is whether one seller can raise its price persistently without losing many customers to available alternatives.



WORKED EXAMPLE: IDENTIFYING A PRICE TAKER

A wheat farmer is one of thousands selling a standardized crop. The posted market price is \$6 per bushel. If this farmer asks \$7 while other farmers still charge \$6, buyers can purchase identical wheat elsewhere. The farmer is too small to move the market price, so raising the price would sharply reduce sales. The evidence - many sellers, a standardized product, and easy switching - identifies price-taking behavior.



CHECK YOURSELF

An online marketplace makes prices easy to compare, but a merger leaves one company controlling most available inventory. Which fact strengthens competition, which fact weakens it, and why?

**READY?**

Return to the game and master this concept.